SPV (special purpose vehicle). After many rounds of discussions, it was also decided to sell the airline on its enterprise value (market cap plus net debt) rather than its equity value. An official closely involved with the project says it was only after these decisions were taken that the Centre was able to find bidders. "We faced many hurdles with the sale of Air India," admits Pandey. "Bidders were scared." When it comes to the sale of BPCL, the government may once again have to take the asset-separation route, since a major stumbling block is the firm's massive real estate assets.

According to DIPAM, in 2021-22, the government had received about Rs 44,450 crore as of January 3 from various subsidiaries. Of this, only Rs 9,329.9 crore was from divestment, with the remaining Rs 35,116.72 crore being dividend receipts.

NEXT UP

In one sense, the government's divestment challenge becomes harder with every success, since what remains on the block are firms that investors have already passed on. Pandey says, "Except for the new listings—for example LIC's IPO, which is a big opportunity because we are bringing something new to the market—the scope is very limited for the government to raise money through divestment. We have been diluting our stakes in existing companies. If we want to [reduce our stake] below 51 per cent, then we are talking about privatisation and handing over management control."

The to-do list so far includes IDBI, SCI, BPCL and Pawan Hans, which have proved hard to sell for various reasons. A senior official closely involved with the divestment effort says, "Pawan Hans has been on the block for 10 years, and it will be tough to find buyers for IDBI because of the bank's poor competitiveness. Most companies are also saddled with tarnished assets."

One challenge the government will have to grapple with is how to sustain investor interest through the process.

> **"PSU EMPLOYEES WANT TO STAY IN THE PUBLIC SECTOR BECAUSE THEY GET THREE TIMES THE SALARY OF THEIR COUNTERPARTS IN THE PRIVATE SECTOR"**
>
> **NILESH SHAH**
> *MD, Kotak Mahindra Asset Management*



Frequently, bidders have grown cold midway through their valuation/ due diligence reviews, perhaps realising just how difficult it will be to take over the management of a PSU. In addition to the depreciated assets, massive debt and complicated asset holdings, there is also the challenge of bringing many different stakeholders—employee unions, the existing PSU management, bidders, regulators and policymakers—all onto the same page. Though the political leadership appears determined to see this through, the scaled-down divestment targets in the 2022-'23 budget indicate an acknowledgement of the enormity of this challenge.

The difficulty is also aggravated by continuity issues in DIPAM. Secretaries have relatively short tenures—three years—but building, sustaining and channelling the investor interest needed to divest a PSU is an enormous effort. It involves not just a marketing blitz but also careful financial analysis and a strategic regulatory and political campaign to steer the deal to a successful conclusion.

There are no easy answers to privatisation. Experts say clear plans and quick decision-making could help. It is also crucial to speed up the sales to plug asset erosion—Air India's debt doubled in the period between the first announcement of its privatisation and its eventual handover to the Tata Group. The reopening of old cases by the judiciary—such as the one relating to a divestment deal conducted under the watch of former IAS officer Pradeep Baijal, or one relating to the divestment of Hindustan Zinc years after the deal was concluded—also has a chilling effect on bureaucratic speed.

Shah says the Centre may find it efficient to adopt the Singapore model. In that country, one firm, Temasek Holdings, manages the investments and assets formerly held by the government, while another—GIC (formerly the Government of Singapore Investment Corporation)—manages the government's financial assets. This frees up ministries to do policy work by handing over the privatisation process to professionals. Yet another option is to tap equity markets to dilute PSU stakes and let a private board manage these firms. Meanwhile, amendments to the General Insurance Business (Nationalisation) Act were cleared during the monsoon session of Parliament. The Banking Laws (Amendment) Bill 2021, relating to the privatisation of two PSBs, was also listed for introduction in the winter session of 2021, but opposition from bank unions and state elections have delayed its tabling.

The fact that billionaire investor Rajesh Jhunjhunwala chose to launch his own airline rather than bid for Air India is a lesson for the Centre. There are many reasons India's ailing PSUs remain stuck on the block—from their poor competitiveness and massive debt to the continuing asset erosion and the pushback from employee unions. If the Centre is committed to achieving its divestment targets, it is critical for these problems to be addressed quickly and comprehensively. ■